

GETTING STARTED

Gold is one of India's favorite asset classes. Nowhere in the world do people buy gold as much as they do in India. This is because gold has multiple usages, unlike most other Investment classes. Gold is bought for its Consumption Value, Social Value and Investment Value. Particularly in Southern states, gold is one of the most common methods to accumulate or store value.

People feel safe with gold as it is a physical asset and has multiple utility points, particularly in Indian society and culture. Let us first spend a moment understanding the three kinds of value gold offers. Firstly, gold has a consumption value. People buy gold for consumption i.e. to use it as jewelry or to gift it to friends and family on important life events.

Next comes Social Value. People with hefty gold reserves are seen as socially more powerful or more influential in India. People wearing expensive gold jewelry are perceived to be well-off and it satisfies an individual's willingness to be a part of the influential segment of the society. So we see that gold comes in with a lot of social value.

Lastly, gold also has investment value. When people buy gold, they buy it assuming that gold will appreciate at price and later it can be sold at a higher price. Very few asset classes have the potential to provide all these three. The closest is real estate. Mutual funds only provide investment value. It is very well justified why gold is such an integral part of the Indian lifestyle.

